

# CHAPTER ONE

## IS BUYING A HOUSE A GOOD INVESTMENT?

So, is it?

Answer the question. Don't hold back. Say your answer out loud, especially if you're in a public place.

Chances are your gut reaction stems from years of social conditioning—and that answer is yes. Most of the adults you know own a house. Some might be an utterly practical three-bed two-bath, while some others are a second vacation home on a lake in rural Vermont. Houses are cozy, private, wonderful little structures that give us shelter.

Is there anything wrong with buying a house? Of course not. But is it a good *investment*?

The easiest way to demonstrate the lack of clarity here is to take a look at the financial impact of buying versus renting over the long term. For the sake of this example and to keep things simple, we'll assume some specific numbers, but these are subject to change depending on where you live and when you're reading this. The main point, however, applies across many of the major markets in the country.

### RENTING VERSUS BUYING

*In the left corner, weighing in at \$2,300 per month...*

Renting a lovely apartment! The original listing included words like “sun-soaked” and “pet-friendly,” and you have everything you need, give or take a few overdue maintenance requests.

Your \$2,300 rent includes all expenses, utilities, and routine fixes. Over the course of a year, that monthly payment adds up to a total of \$27,600. (Yeah, just let that number sink in for a minute.) You can also assume your